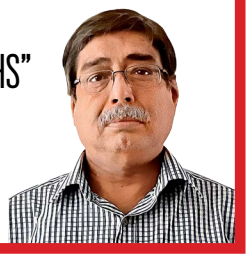
THE FALLOUT FOR INDIA

- In case of a multi-front war in Gaza, West Bank, Syria and Lebanon, and unrest in all of West Asia, oil prices could rise by $8 per barrel, global inflation by 0.2 percentage points, and growth would slow down by 0.3 points
- A direct war involving Israel and Iran, coupled with unrest in West Asia, could see oil prices rise by an additional $64 a barrel, touching $150 a barrel. Global inflation could rise by 1.2 points, and growth fall by 1 point
- Higher oil prices could widen the trade deficit for India, where the government will have to shell out more for imports. Since it will not want to pass on the hike to consumers due to the impending state and general elections, its welfare spend could take a beating
- India's inflation, which had breached RBI's target levels until recently, may rise again if oil prices exceed $100 a barrel
- Work on the India-Middle East-Europe Economic Corridor could be delayed, leading to cost escalation, though the Centre has clarified the project won't be affected

(Rs 8,302) a barrel. A weakening rupee makes our exports dearer and could lead to further inflation back home, putting pressure on consumer spending on the eve of the festive season. Higher inflation spoils any chance of the Reserve Bank of India (RBI) reducing interest rates anytime soon—a move that could have made retail consumer loans cheaper.

One of the reasons for the weak rupee is the country's widening trade deficit as a result of the rising oil prices. In the first half of the current fiscal, India's combined trade deficit was $40.2 billion (Rs 3.34 lakh crore). There has been a slowdown in merchandise goods exports, though that gap has been filled by robust services exports. Imports of both goods and services, on the other hand, have declined. "Our analysis shows that for every 10 per cent increase in oil prices on a permanent basis," says the BoB note, "the current account deficit is likely to inch up by nearly 0.4 per cent of the GDP, which can weigh on the rupee." However, the risk of that happening is limited. Even so, market sentiments have remained fragile and manifested in the form of a weakening rupee. Meanwhile, a research note from the ratings agency CareEdge expects the rupee to trade between 82 and 84 to a dollar in the second half of FY24.

> "THE WAR COULDN'T HAVE COME AT A WORSE TIME. **THE WORLD IS ALREADY EXPERIENCING A SLOWDOWN** AND THE US ECONOMY MAY START TUMBLING IN A FEW MONTHS"
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Falling stock markets: Stock markets around the world initially sank after Israel retaliated to the Hamas attack, as panicking investors pulled out their money, especially from emerging markets. However, the markets quickly recovered in the hope that the war would be limited to Gaza. Now, again, the Indian bourses are seeing a volatile phase. On October 23, the BSE Sensex fell 826 points to close at 64,572 points, its biggest single-session loss since July. Meanwhile, the Nifty fell 261 points to close at 19,282 points on the National Stock Exchange.

Trade: Since the establishment of diplomatic ties between India and Israel in 1992, bilateral trade progressed rapidly. From $200 million (Rs 1,660 crore, at current exchange rate) in 1992 (comprising primarily diamonds), merchandise trade diversified and reached $10 billion (Rs 83,000 crore), excluding defence, in 2022-23 with the balance of trade being in India's favour. In 2022-23, Indian merchandise exports to Israel stood at $7.89 billion (Rs 65,502 crore) and Israeli exports to India at $2.13 billion (Rs 17,683 crore). In addition, bilateral trade in services stood at $1.1 billion (Rs 9,132 crore) in 2021. Trade between the two countries may not be impacted immediately; it will become a casualty only if the entire region gets drawn into the conflict. The UAE is India's second largest trading partner, making the situation even more difficult for India in case of a protracted war involving West Asia.

India had done well post the pandemic registering a growth of 7.8 per cent in the previous fiscal, but the biggest challenge now is how the country will sustain this, especially in the light of the current geopolitical developments. Already, most agencies have put India's growth in the current fiscal at close to 6 per cent, but with the ongoing wars and uncertainty, it cannot be taken for granted. India managed to successfully overcome the natural pestilence that was the Covid pandemic. War among humans is a challenge of a different order. ■